

Apple Inc. (NASDAQ: AAPL) — Investment Thesis

September 21, 2026 | Price \$336.13 (Sep 18 close) | Market cap ~\$4.9T | DCF base case \$153 | Sensitivity range \$123–\$215 | View: great business, demanding price

Thesis in one paragraph

Apple is one of the highest-quality businesses in the market — a recurring, high-margin Services stream attached to a vast installed base, negative working capital, \$62B of net cash and ~\$100B a year returned to shareholders. The problem is the entry price, not the company. The stock is up ~43% over twelve months and trades at ~38x trailing earnings and ~29x FY2026E EBITDA on the back of an exceptional iPhone cycle that the FY2026 numbers flatter with one-off tariff refunds. My DCF, using a 9.6% WACC and a 3% terminal growth rate, values Apple at ~\$153 per share. To justify \$336 you need roughly 7% perpetual growth, or a ~6% discount rate — in other words, the market is already paying for a decade-long AI-driven upgrade cycle plus a bond-like risk profile at a time when the 10-year Treasury sits near 5%. **The thesis is therefore: own the business, but underwrite it at a lower price; at current levels the risk/reward is skewed to the downside.**

Pillar 1 — The franchise is real and durable (the reason not to short it)

- **Services are the earnings engine:** \$109.2B in FY2025 (26% of revenue) at ~75% gross margin versus ~37% for products, growing 12–14%. Each year of mix shift adds roughly 25bp to company gross margin.
- **Structural cash advantages:** working capital is negative (–\$52B), so growth releases cash rather than consuming it; FY2025 free cash flow was ~\$99B and FY2026 is tracking materially higher.
- **Fortress balance sheet and capital returns:** \$146.5B of cash and securities against \$84.3B of debt, with \$90.7B of buybacks and \$15.4B of dividends in FY2025 — a ~2% annual reduction in share count that compounds per-share value.

Pillar 2 — FY2026 is a cycle peak, not the new baseline

- Nine-month FY2026 revenue rose 16% to \$364.4B, with iPhone up 22% — the strongest cycle since 2021. Management guided the September quarter to +9–11%, and consensus has FY2027 growth in the single digits.
- June-quarter gross margin of 50.1% included roughly 2pp from **non-recurring tariff refunds**; Q4 was guided to 47–48% as memory costs rise. My forecast resets gross margin to 47.5% in FY2027 rather than extrapolating the peak.
- A strong cycle pulls demand forward: the same upgrade wave that makes FY2026 look exceptional makes FY2027 comparisons hard. My model fades growth from 14.6% (FY26E) to 6.0% (FY27E) and on to 3.5% by FY2031 — a 4.6% five-year CAGR.

Pillar 3 — Valuation already discounts the bull case

Cross-check	Model	Market today
Enterprise value	\$2,185B	\$4,868B
EV / FY2026E EBITDA	12.9x	28.6x
Implied terminal EV/EBITDA	12.1x	—
Trailing P/E (EPS \$8.73)	—	38.5x
Perpetual growth required at 9.6% WACC	3.0%	~7.0%
WACC required at 3% growth	9.6%	~6.0%

No company grows faster than the economy forever, so the market is effectively applying a ~6% discount rate — pricing Apple as a quasi-bond. That can persist, but it leaves little margin of safety: 74% of my enterprise value sits in the terminal value, and a 1pp rise in WACC takes ~13% off the value.

What would have to be true for the bull case

- **Rates fall back.** At a 4.3% risk-free rate (the twelve-month average) the WACC drops to ~8.9% and my value rises to ~\$171. Rate relief is the single most powerful lever, and it is macro, not company-specific.
- **AI extends the cycle.** Siri AI, iPhone 18 Pro and the foldable Duo sustaining high-single-digit growth rather than fading: +1pp of growth every year is worth ~+5%; combined with gross margin reaching 50% (+1pp ≈ +3%), the value moves toward the upper end of the \$123–\$215 sensitivity band.
- **Services re-accelerate** above the 12% reported in Q3 FY2026, and China keeps the 30% nine-month momentum. Those two together are the most credible path to a materially higher intrinsic value.

Key risks to the thesis (both directions)

- **Being too bearish:** quality compounders rarely de-rate on schedule. If AI monetisation works, my five-year fade to 3% will look far too conservative.
- **Regulatory:** App Store rules (EU DMA, US antitrust) and the Google default-search payments sit inside the highest-margin revenue line.
- **China:** ~15% of revenue, volatile and politically exposed — down 4% in FY2025, up 30% in nine-month FY2026.

- **Cost and supply:** rising memory prices, tariffs and the supply constraints management flagged in July compress margin in FY2027.
- **Multiple risk:** with the Fed hiking and the 10-year near a 19-year high, a high-multiple mega-cap is vulnerable to de-rating regardless of results.

Catalysts and what I am monitoring

- **Q4 FY2026 results (late October 2026):** the gross margin print ex-tariff refunds, and initial FY2027 commentary.
- **iPhone 18 / Duo sell-through and lead times:** whether the foldable expands the premium base or cannibalises Pro.
- **Services growth rate:** a re-acceleration above 13% is a genuine upgrade to the thesis; sustained sub-12% is a downgrade.
- **Greater China revenue and the rate path:** the two variables with the widest error bars in my valuation.

Bottom line

I would underwrite Apple as a core long-term holding at a price that offers some margin of safety — roughly the \$180–\$215 area implied by a lower discount rate or a more optimistic growth path — and I would not add at \$336, where the price already assumes both. The most honest framing is that this is a debate about the discount rate and the durability of Services growth, not about business quality. **If the market's ~6% implied cost of capital for Apple is right, the stock is fairly valued; if a conventional CAPM rate is right, it is not.**

This is an analytical exercise prepared for interview purposes, based on public filings and the accompanying DCF model. It is not investment advice, and I am not a financial adviser; anyone acting on it should do their own work.